

Outline for a 2-3 Minute Course on Student Loans

Introduction (30 sec)

- Student loans are often a student's first major financial decision.
- Treat them like an investment—ensure your potential earnings outweigh the cost.
- Good financial habits, like reviewing your finances weekly or bi-weekly, can help manage student debt wisely.

1. Understanding Student Loans as an Investment (30 sec)

- Loans can be a tool to access education but should be taken with a plan in mind.
- Consider future earning potential in your field versus total loan cost.
- Decision-making techniques: Cost-benefit analysis, goal setting, and budgeting.

2. Overview of Student Loan Types (45 sec)

- **Federal Loans** (FAFSA required)
 - Typically lower interest rates
 - Income-driven repayment options
 - Some loan forgiveness programs are available, but are decreasing significantly as time goes on
- **Private Loans**
 - Higher interest rates
 - Fewer repayment protections
 - Should only be considered after maximizing federal options
- **Subsidized vs unsubsidized loans**
 - Subsidized
 - Need-based
 - Government pays interest while in school, etc.
 - Undergraduate students
 - Lower loan limits
 - Unsubsidized
 - Not need-based
 - Borrower responsible for all interest from day one
 - Undergraduate and graduate students
 - Higher loan limits

3. Know Your Resources (45 sec)

- **Campus Support** – Financial aid office, student advisors, and workshops.
- **Online Tools** – Federal student aid website, loan calculators, financial literacy resources.

- **FAFSA & Financial Aid Process –**

- Complete FAFSA early (required for federal loans and some grants).
- Understand tuition refunds (e.g., deciding whether to send them home or keep them).
- Prioritize federal loans before considering private ones.
- Recognize that financial aid availability varies based on individual and societal factors.

Conclusion (30 sec)

- Always review financial decisions and consider the long-term impact.
- Take advantage of available resources to make informed choices.
- Smart borrowing today leads to a manageable financial future after graduation.

Script:

For many of us, student loans are our first major financial decision, and they're a serious commitment. The key is to treat them like an investment — make sure the cost of your loan makes sense compared to what you expect to earn in your career.

Federal loans are usually the better option: lower interest, more flexible repayment, and some forgiveness programs. Just make sure to fill out your FAFSA early. Private loans come with more risk, so only consider them if you've maxed out federal aid first.

Also, know the difference between subsidized and unsubsidized loans — with subsidized, the government pays your interest while you're in school. Finally, use your resources: talk to the financial aid office, check out loan calculators, and keep an eye on your budget. Smart borrowing now means less stress after graduation.